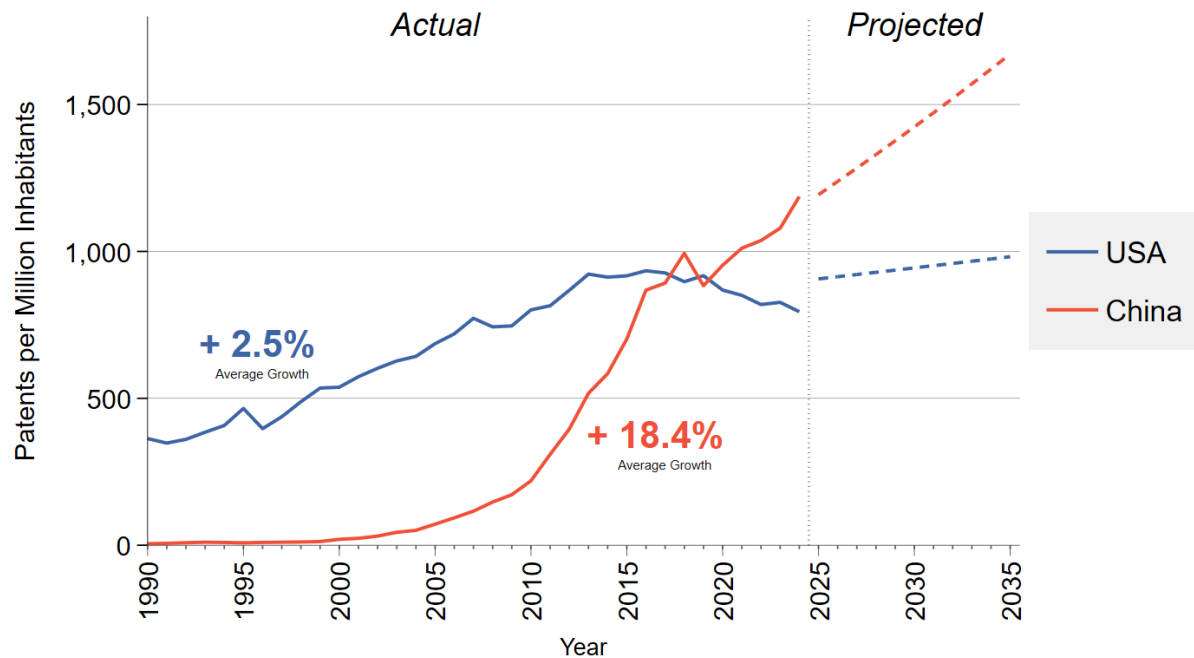


Figure 1: China's Patenting Lead Is Projected to Widen

Patent Applications per Million Inhabitants: Actual and Projected, 1990–2035



Sources: WIPO & World Bank

Notes: Patenting intensity is measured as resident patent applications per million inhabitants. Solid lines represent observed values through 2024, and dashed lines represent projections for 2025–2035. Projections are based on country-specific piecewise linear trends estimated using Bai-Perron structural break tests and extrapolated from the most recent growth regime identified for each country. The average growth rates represent the mean annual growth in patent applications per million inhabitants between 1990 and 2024 for each country.

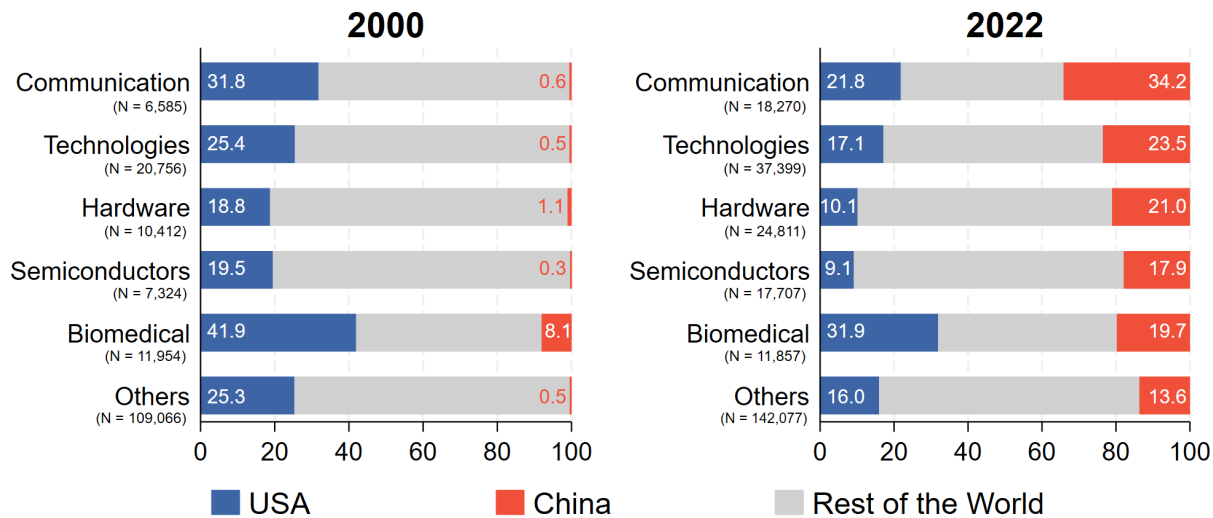
Figure 1 shows how patenting intensity has changed in the United States and China, based on resident patent applications per million people, from 1990 to 2024, with projections through 2035. The main takeaway is that China surpassed the United States in patenting intensity in 2017 and, if current trends continue, is expected to widen that lead over the next decade. This trend indicates that China has developed a broad, rapidly growing innovation base, not just progress in a few areas. Still, patent counts reflect innovative activity, not necessarily the economic value or strategic importance of inventions, so this figure should be seen as a sign of increasing innovation capacity, not as proof of technological leadership.

Bibliography

World Bank. (2026). *Population estimates and projections* [Data set]. DataBank. Retrieved June 8, 2026, from <https://databank.worldbank.org/source/population-estimates-and-projections>.

World Intellectual Property Organization. (2026). *Patent – Resident applications per million inhabitants* (Country profiles) [Data set]. WIPO IP Statistics Data Center. Retrieved June 10, 2026, from <https://www3.wipo.int/ipstats/ips-search/countryprofiles>.

Figure 2: Shifting Technological Leadership Across Technology Domains
Distribution of Worldwide Patent Families across USA, China, and the Rest of the World: 2000 vs. 2022



Source: OECD

Notes: Each bar shows the distribution of worldwide IP5 patent families, classified by priority year and inventor location, across the USA, China, and the Rest of the World within a given technology domain; values are expressed as percentages of the global total in that domain. Percentages displayed within the bars indicate the shares accounted for by the USA and China, respectively. The (N) reported beneath each technology category indicates the total number of worldwide IP5 patent families in that domain. Technology domains are aggregated as follows: *Communications* corresponds to Digital Communication; *Technology* combines Computer Technology and Audio-visual Technology; *Hardware* refers to Electrical Machinery, Apparatus, and Energy; *Biomedical* combines Pharmaceuticals and Biotechnology; and *Others* includes the remaining 28 WIPO technology fields.

Figure 2 compares how worldwide IP5 patent families are spread across major technology fields in 2000 and 2022, showing how innovation has shifted globally. The main takeaway is that China went from a minor player in 2000 to a leading source of patents in fields like communications, computing, semiconductors, and hardware, while the U.S. share has dropped across all fields. Note that the figure shows each country's share of global patents in a field, not their total innovation output (shares can fall even if their innovation is still growing). Thus, this exhibit shows China's broad rise in many connected technologies, but it does not mean the United States is no longer a global innovation leader.

Bibliography

Organisation for Economic Co-operation and Development. (2026). *IP5 patent families by technology, priority date, and inventor* [Data set]. OECD Data Explorer. Retrieved June 10, 2026, from <https://data-explorer.oecd.org/?lc=en>.

Table 1: **America's Financial Advantage over China, 2015-2025***VC Investment, Unicorn Formation, and Public Market Exits*

	USA		China	
	2015	2025	2015	2025
VC Investment (\$ billions)	127.3	323.1	55.2	55.7
Unicorns	28	805	15	318
Public Formerly VC-backed Firms	1,038	1,330	969	1,594

Source: PitchBook Data, Inc.

Notes: VC Investment is the total capital invested in completed venture capital deals across all financing stages. Public Formerly VC-backed Firms are companies with an ownership status of *Publicly Held* and a backing status of *Formerly VC-backed*; reported values represent the stock of such firms as of 2015 and 2025. Unicorns are VC-backed companies with a post-money valuation of at least \$1 billion; reported values represent the stock of such firms as of 2015 and 2025.

Table 1 looks at how venture capital investment, unicorn creation, and public market results have changed in the United States and China between 2015 and 2025. The main takeaway is that, even though China's startup scene is growing and has more publicly listed former VC-backed firms by 2025, the United States still invests much more venture capital and creates many more unicorn companies. Note that the table tracks different parts of the startup process (funding, growth, and going public) rather than the quality of founders, and having more public firms does not always mean a bigger economic impact. Hence, this exhibit shows that the United States still has a strong edge in funding and growing high-growth companies, but it does not mean China lacks a strong or growing startup scene.

Bibliography

PitchBook Data, Inc. (2026). PitchBook Platform [Database]. Retrieved June 10, 2026 from <https://my.pitchbook.com/>.